

RBI, MONETARY POLICY AND LIQUIDITY MANAGEMENT

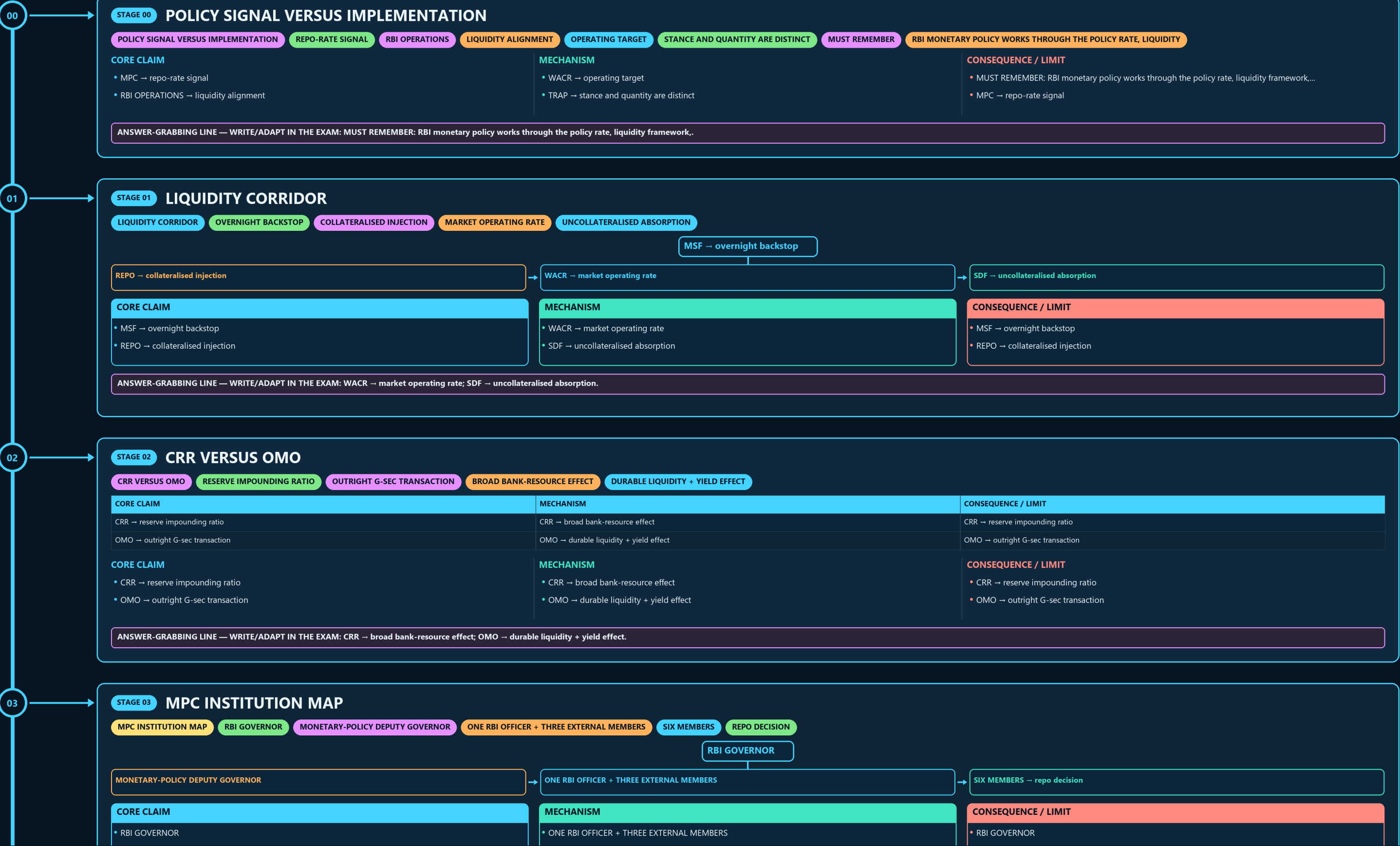
POLICY SIGNAL VERSUS IMPLEMENTATION → LIQUIDITY CORRIDOR → CRR VERSUS OMO → MPC INSTITUTION MAP → INFLATION TARGET FRAME → TRANSMISSION CHAIN

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

- CRR → broad bank-resource effect
- OMO → durable liquidity + yield effect

- CRR → reserve impounding ratio
- OMO → outright G-sec transaction

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CRR → broad bank-resource effect; OMO → durable liquidity + yield effect.

03

STAGE 03 MPC INSTITUTION MAP

MPCC INSTITUTION MAPRBI GOVERNORMONETARY-POLICY DEPUTY GOVERNORONE RBI OFFICER + THREE EXTERNAL MEMBERSSIX MEMBERSREPO DECISION

RBI GOVERNOR

MONETARY-POLICY DEPUTY GOVERNOR

ONE RBI OFFICER + THREE EXTERNAL MEMBERS

SIX MEMBERS → repo decision

CORE CLAIM

- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

MECHANISM

- ONE RBI OFFICER + THREE EXTERNAL MEMBERS
- SIX MEMBERS → repo decision

CONSEQUENCE / LIMIT

- RBI GOVERNOR
- MONETARY-POLICY DEPUTY GOVERNOR

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ONE RBI OFFICER + THREE EXTERNAL MEMBERS; SIX MEMBERS → repo decision.

04

STAGE 04 INFLATION TARGET FRAME

INFLATION TARGET FRAMENOMINAL ANCHORHEADLINE CPI4 PER CENTPLUS/MINUS 2 PERCENTAGE POINTSPRICE STABILITY WHILE MINDFUL OF GROWTH

CORE CLAIM

- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

MECHANISM

- TOLERANCE → plus/minus 2 percentage points
- MANDATE → price stability while mindful of growth

CONSEQUENCE / LIMIT

- NOMINAL ANCHOR → headline CPI
- TARGET → 4 per cent

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MANDATE → price stability while mindful of growth.

05

STAGE 05 TRANSMISSION CHAIN

TRANSMISSION CHAINREPO + COMMUNICATIONWACR + FUNDING + DEPOSIT RATESLENDING RATES + CREDIT + DEMANDOUTPUT AND INFLATION WITH LAGSCLOSE DISTINCTIONREPO POLICY RATE IS NOT EVERY LIQUIDITY OPERATION, LIQUIDITY

REPO + COMMUNICATION

WACR + funding + deposit rates

lending rates + credit + demand

output and inflation with lags

CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus

CORE CLAIM

- REPO + COMMUNICATION
- WACR + funding + deposit rates

MECHANISM

- lending rates + credit + demand
- output and inflation with lags

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus...
- REPO + COMMUNICATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus.

06

STAGE 06 PANDEMIC PACKAGE

PANDEMIC PACKAGEREPO REDUCTIONSRR EASINGOMO PURCHASESTARGETED LONGER-TERM LIQUIDITY

REPO REDUCTIONS

RR EASING

OMO PURCHASES

TARGETED LONGER-TERM LIQUIDITY

CORE CLAIM

- REPO REDUCTIONS
- RR EASING

MECHANISM

- OMO PURCHASES
- TARGETED LONGER-TERM LIQUIDITY

CONSEQUENCE / LIMIT

- REPO REDUCTIONS
- RR EASING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REPO REDUCTIONS; RR EASING; OMO PURCHASES; TARGETED LONGER-TERM LIQUIDITY.

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Repo policy rate is not every liquidity operation, liquidity surplus.

06

STAGE 06 PANDEMIC PACKAGE

PANDEMIC PACKAGE REPO REDUCTIONS CRR EASING OMO PURCHASES TARGETED LONGER-TERM LIQUIDITY

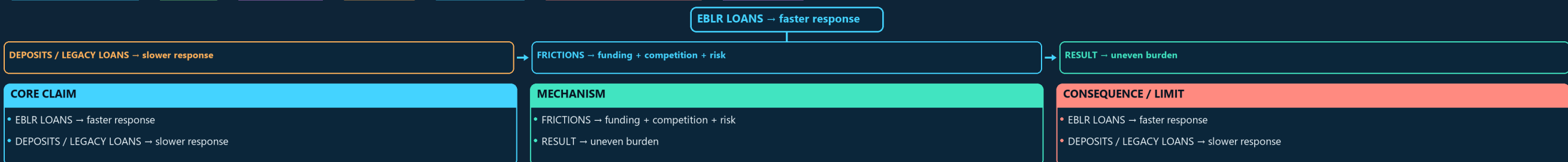


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REPO REDUCTIONS; CRR EASING; OMO PURCHASES; TARGETED LONGER-TERM LIQUIDITY.

07

STAGE 07 PASS-THROUGH FRICTIONS

PASS-THROUGH FRICTIONS EBLR LOANS FASTER RESPONSE LEGACY LOANS SLOWER RESPONSE FUNDING + COMPETITION + RISK UNEVEN BURDEN



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FRICTIONS → funding + competition + risk; RESULT → uneven burden.

08

STAGE 08 FOREX-LIQUIDITY BRIDGE

FOREX-LIQUIDITY BRIDGE FOREX INTERVENTION DOMESTIC LIQUIDITY CHANGES ABSORPTION OFFSET VOLATILITY SMOOTHING, NOT A FIXED RATE

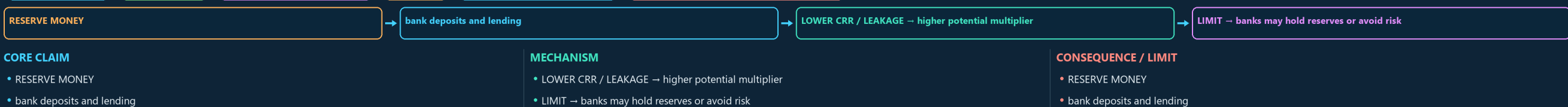


ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → volatility smoothing, not a fixed rate.

09

STAGE 09 MONEY MULTIPLIER

MONEY MULTIPLIER RESERVE MONEY BANK DEPOSITS AND LENDING LOWER CRR HIGHER POTENTIAL MULTIPLIER BANKS MAY HOLD RESERVES OR AVOID RISK



ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → banks may hold reserves or avoid risk.

09

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → volatility smoothing, not a fixed rate.

STAGE 09

MONEY MULTIPLIER

MONEY MULTIPLIERRESERVE MONEYBANK DEPOSITS AND LENDINGLOWER CRRHIGHER POTENTIAL MULTIPLIERBANKS MAY HOLD RESERVES OR AVOID RISK

RESERVE MONEY → bank deposits and lending → LOWER CRR / LEAKAGE → higher potential multiplier → LIMIT → banks may hold reserves or avoid risk

CORE CLAIM

• RESERVE MONEY
• bank deposits and lending

MECHANISM

• LOWER CRR / LEAKAGE → higher potential multiplier
• LIMIT → banks may hold reserves or avoid risk

CONSEQUENCE / LIMIT

• RESERVE MONEY
• bank deposits and lending

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → banks may hold reserves or avoid risk.

10

STAGE 10

RBI BALANCE-SHEET TRAPS

RBI BALANCE-SHEET TRAPSNOTES ISSUEDFX INTERESTINCOME SOURCEPAYMENT STORAGESUPERVISORY DIRECTIONMATCH SPONSOR AND SUBJECT

G-SEC / FX INTEREST → income source → PAYMENT STORAGE → supervisory direction → COMMITTEES → match sponsor and subject

CORE CLAIM

• NOTES ISSUED → liability
• G-SEC / FX INTEREST → income source

MECHANISM

• PAYMENT STORAGE → supervisory direction
• COMMITTEES → match sponsor and subject

CONSEQUENCE / LIMIT

• NOTES ISSUED → liability
• G-SEC / FX INTEREST → income source

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PAYMENT STORAGE → supervisory direction; COMMITTEES → match sponsor and subject.

11

STAGE 11

MONETARY-POLICY ANSWER SPINE

MONETARY-POLICY ANSWER SPINEDIAGNOSE INFLATION AND OUTPUTSTATE MPC SIGNALMAP LIQUIDITY IMPLEMENTATIONTEST TRANSMISSION, GROWTH AND EXTERNAL LIMITSEVIDENCE LIMITPRESERVE RBI ACT, MPC, OPERATING TARGET AND

DIAGNOSE inflation and output → STATE MPC signal → MAP liquidity implementation → TEST transmission, growth and external limits → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and

CORE CLAIM

• DIAGNOSE inflation and output
• STATE MPC signal

MECHANISM

• MAP liquidity implementation
• TEST transmission, growth and external limits

CONSEQUENCE / LIMIT

• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and...
• DIAGNOSE inflation and output

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Preserve RBI Act, MPC, operating target and.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENTSEPARATE STANCE, POLICY RATE, OPERATING TARGET, LIQUIDITY CORRIDOR ANDTHE FORMAL TARGET CONCERNS HEADLINE CPI, THE REPO ISTransmission channels include interest rates, bank credit, asset prices

A liquidity deficit can keep overnight rates firm evenVariable-rate operations can fine-tune transient liquidity while OMOs addressFISCAL cash balances, currency leakage, capital flows and governmentRBI's balance-sheet actions can influence both rupee liquidity and

OPTIONAL SOURCE DEPTH

• CAUTION: Separate stance, policy rate, operating target, liquidity corridor and instruments;
• CAUTION: The formal target concerns headline CPI, the repo is the MPC's policy signal and WACR
• CAUTION: Transmission channels include interest rates, bank credit, asset prices, exchange rates
• CAUTION: A liquidity deficit can keep overnight rates firm even when the announced stance is

ADVANCED DEBATE

• CAUTION: Variable-rate operations can fine-tune transient liquidity while OMOs address durable
• CAUTION: Fiscal cash balances, currency leakage, capital flows and government spending create
• CAUTION: RBI's balance-sheet actions can influence both rupee liquidity and foreign-exchange
• Monetary Policy Committee: decides the policy repo rate under the inflation

LEGACY / NUANCE

• RBI Financial Markets Operations Department: conducts liquidity operations and
• Scheduled commercial banks and primary dealers: transmit policy through money,
• Government cash-management system: changes autonomous liquidity through taxes,
• CAUTION: An OMO purchase injects durable liquidity by buying government securities outright.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels

RBI, MONETARY POLICY AND LIQUIDITY MANAGEMENT • TILE 4/4 • same master rows 7034-10268 of 10268 • end